Sovereign Green Bonds in IFSC-An Opportunity

The GOI and RBI has been taking various measures to encourage inflow of foreign investments in India. Sovereign Green Bonds are issued for funding green projects aimed at reducing the carbon intensity of the economy. The article highlights various measures taken by GOI, RBI and IFSCA to boost investments in SGrBs.

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INTRODUCTION

The World Bank states that **a green bond is a debt security that is issued to raise money for initiatives that are relevant to the environment or the climate**. Governments around the world offer sovereign green bonds to raise money for these kinds of initiatives that are required to be undertaken in their nations. The proceeds from these bonds are used to finance projects such as: renewable energy, sustainable agriculture, and waste management. Thus, sovereign green bonds are a way for governments around the world to raise money for projects that are sustainable and thereby promote sustainability and achieve their sustainability linked goals.

SOVEREIGN GREEN BONDS IN INDIA

The Government of India (GoI) in the Union Budget 2022-23 announced issuance of Sovereign Green Bonds (SGrBs) for tapping the requisite finance from the investors for deployment in public sector projects aimed at reducing the carbon intensity of the economy. GoI came out with a SGrB Framework aligned with the Green Bond Principles laid down by International Capital Market Association (ICMA)[1]. Subsequently, the SGrBs were auctioned by RBI in various tranches starting from January 2023. Details of the issuances[2] are given below.

Date	Issuance Amount (in INR Cr)	Bond Maturity (Years)	Yield (%)
January 2023	4000	5	7.10
January 2023	4000	10	7.29
February 2023	4000	5	7.23
February 2023	4000	10	7.30
November 2023	5000	5	7.25
December 2023	5000	10	7.24
January 2024	5000	30	7.37
January - February 2024	5000	30	7.37
August 2024	6000	10	6.90
November 2024	5000	10	6.79
December 2024	5000	30	6.98

Additionally, as per the RBI's issuance calendar for marketable dated securities for October 2024 – March 2025, RBI is going to auction around INR 20, 000 Cr of SGrBs in the current financial year 2024-25 through four SGrB issuances (two of 10-years tenor and two of 30-years tenor) of Rs 5,000 crore each[3].

MEASURES TO BOOST INVESTMENT IN SGrBs

FPIs, as of January 15, 2025, have only utilized the 3.590%[4] of limits for the long-term government securities. This is significantly less compared to foreign participations in G-secs of some other emerging countries such as China, Indonesia, South Africa, Mexico and Brazil.

1. *https://www.icmagroup.org/sustainable-finance/the-principles-guidelines-and-handbooks/green-bond-principles-gbp/*
2. *RBI Press Releases*
3. *https://www.rbi.org.in/scripts/BS_PressReleaseDisplay.aspx?prid=58763*
4. *https://www.ccilindia.com/web/ccil/fpi-home-page*

In recent years, the Government of India and RBI have taken several measures for encouraging the participation of eligible non-resident entities such as the Foreign Portfolio Investors (FPIs), Non-Resident Indians (NRIs), Overseas Citizens of India (OCIs) in government securities market. The measures include the introduction of the Voluntary Retention Route (VRR) scheme in 2019 and the Fully Accessible Route (FAR) in 2020. The FAR allows no quantitative limits on non-resident investment in certain specified G-Secs. The Sovereign Green Bonds have also been included in the FAR. RBI in F.Y. 2022-23 and 2023-24, auctioned Rs. 41000 Cr worth of SGrBs under the FAR. FPIs[5] currently holding is only 2.228% of SGrBs.

F.Y.	ISIN	Securities Description	Indicative value of Aggregate holding of FPIs (INR Cr)	Outstanding Position of Government Securities (INR Cr)	Security holding (%)
2022-23	IN0020220144	7.29 GOI SGRB 2033	414.838	8000	5.19
2022-23	IN0020220136	07.10 GOI SGRB 2028	110.093	8000	1.38
2023-24	IN0020230150	07.24 GOI SGRB 2033	59.0000	5000	1.18
2023-24	IN0020230143	07.25 GOI SGRB 2028	0.0	5000	0.0
2023-24	IN0020230176	07.37 GOI SGRB 2054	82.497	10000	0.82
2024-25	IN0020240159	06.79 GOI SGRB 2034	128.700	5000	2.57

Inspite of making significant policy enablements, FPI's participation of India's green growth journey has been significantly low. Based on the market feedback and with a view to facilitate wider non-resident participation in SGrBs, IFSCA and RBI have put in place a mechanism to enable trading and settlement of SGrBs in IFSC. This is expected to boost participation of foreign investors in SGrBs.

SCHEME FOR TRADING AND SETTLEMENT OF SGrBs AT IFSC

RBI has issued its ***"Scheme for Trading and Settlement of Sovereign Green Bonds in the International Financial Services Centre in India[6]"*** ("Scheme") on August 29, 2024. The scheme while providing broad contours, mentioned that the operational guidelines for participation in the Scheme by entities in IFSC shall be issued by the IFSCA. Subsequently, IFSCA vide circular dated September 24, 2024, issued operating guidelines[7] for the trading and settlement of SGrBs in IFSC. The important components of the Scheme and operating guidelines are as follows:

> GIFT IFSC has potential to cater to the untapped markets for trading and settlement of SGrBs.

Eligible Investors

a. Persons resident outside India as defined in Section 2(w) of the Foreign Exchange Management Act, 1999 and are not incorporated in High-Risk Jurisdictions subject to a Call for Action as identified by Financial Action Task Force (FATF);

b. An IBU of a foreign bank which does not have a branch or subsidiary licensed to undertake banking business in India; or

Persons resident outside India as treated under Foreign Exchange Management (International Financial Services Centre) Regulations, 2015 and are not incorporated in High-Risk Jurisdictions subject to a Call for Action as identified by FATF provided that such persons are not a branch, joint venture, subsidiary or trust of an entity incorporated in India. However, the funds / schemes, including the ones setup by entities incorporated in India, regulated by IFSCA under the IFSCA (Fund Management) Regulations, 2022 are also considered as eligible investors.

Eligible Securities

SGrBs issued by the GoI shall be eligible for investment under the Scheme subject to certain conditions.

Eligible Market Infrastructure Institutions (MIIs)

All recognized stock exchanges, Clearing Corporations (CCs), and depositories in IFSC may participate in terms of the provisions of Scheme and operating guidelines of IFSCA.

Eligible Participants

Broker-Dealers, Clearing Members, Custodians and Depository Participants registered with IFSCA and eligible IBUs in IFSC may participate in terms of the provisions of Scheme and operating guidelines of IFSCA.

Eligible IFSC Banking Units (IBUs)

An IBU of a bank in India and an IBU of a foreign bank, provided that the foreign bank has a branch or subsidiary licensed to undertake banking business in India, shall be eligible to participate in the Scheme to facilitate transactions.

Participation in the Primary Market

a. The stock exchange(s) at IFSC will provide an electronic platform for placement of bids by eligible investors to participate in the primary auction. The CCs will act as an aggregator / facilitator of bids and submit bids on the RBI's Core Banking Solution

5. *https://www.fpi.nsdl.co.in/Reports/ReportDetail.aspx?RepID=1*
6. *https://shorturl.at/4HRSK*
7. *https://shorturl.at/rpOsT*

(E-Kuber) system, or any other platform / system as notified by the RBI in this regard.

b. On settlement, the securities allotted to the eligible investors will be credited to the Constituent Subsidiary General Ledger (CSGL) account of the CCs on the settlement date. The CC shall undertake Value Free Transfer (VFTs) to credit the allotted securities to the CSGL account of the Depository on the same day. Subsequently, securities will be credited to eligible investors demat accounts by Depository.

Participation in the Secondary Market

a. Securities maintained by investors with the depository will be available for trading in the Over-the-Counter (OTC) markets in the IFSC. OTC markets shall mean markets where transactions are undertaken in any manner other than on stock exchanges and shall include transactions undertaken on electronic trading platforms authorised by IFSCA.

b. Eligible investors can trade in the secondary market in the IFSC with other eligible investors and with eligible IBUs. Whereas transactions between two eligible IBUs will not be undertaken under the Scheme.

c. The details of trade shall be reported to the CCs and settlement will take place through CC only. However, CC will not act as a central counterparty for the purpose of settlement of transactions in the OTC markets.

Fungibility between GIFT IFSC and RBI

The scheme of RBI and operating guidelines of IFSCA intend to establish fungibility between IFSC ecosystem with RBI ecosystem i.e. investor in IFSC can buy as well as sell securities from domestic India through GIFT IFSC.

Reporting requirements

a. The CCs will report the secondary market transactions to CCIL, or any other agency as specified by the RBI, at the earliest and no later than three hours after the close of trading hours for the eligible securities.

b. An end-of-day statement of holdings shall be submitted by the Depository to the RBI, or any other agency specified by the RBI.

ADVANTAGES OF ISSUE OF SGrBs AT THE IFSC

In addition to assisting India in meeting its climate commitments, the trading and settlement of SGrBs at IFSC is also expected to attract international investors and thereby diversify the investor base. Further, this would create a signaling effect in attracting Indian corporates and public institutions to raise their green bonds through IFSC. This may also help in attracting sovereign bond listings of other emerging jurisdictions, particularly in the South Asian Region for listing on IFSC exchanges. This will be an important enabler towards establishing IFSC as a regional hub for sustainable finance.

CONCLUSION

The scheme for trading and settlement of SGrBs at IFSC holds immense potential for enabling wider participation of non-resident foreign investors to participate in the India's green growth. Successful implementation of the scheme may lead to trading and settlement of other government securities through GIFT IFSC. This may not only increase the foreign participation but also provide liquidity to debt securities market and establish GIFT IFSC as a global hub for sustainable finance. This will also assist India in raising finance to achieve its SDG goals.